

Notes: Kaplan, Klebanov, and Sørensen (JF, 2012)

Which CEO Characteristics and Abilities Matter?

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1 Big picture

- **Question.** Which individual CEO characteristics are empirically important for firm performance? The paper asks whether managerial talent is measurable and whether the dimensions emphasized by theory—general ability, execution/resoluteness, and interpersonal/team skills—actually predict outcomes.
- **Setting.** The authors study 316 CEO candidates for 258 private-equity-backed companies from 2000 to 2006. The candidates were assessed by ghSMART using structured four-hour interviews and scored on 30 characteristics.
- **Core data contribution.** Unlike papers that infer CEO traits from indirect proxies, this paper uses direct assessments of CEO candidates, including ratings on leadership, personal, intellectual, motivational, and interpersonal dimensions.
- **Main dimension 1: general ability.** Factor analysis reveals a first broad factor that loads positively on almost all characteristics and explains roughly 53% of the variation. The paper interprets this factor as general managerial talent.
- **Main dimension 2: execution versus interpersonal orientation.** A second factor explains roughly 20% of the variation. It loads positively on interpersonal traits such as respect, listening, teamwork, and openness to criticism, and negatively on execution/resoluteness traits such as fast, aggressive, persistent, proactive, work ethic, high standards, and accountable.
- **Performance result for buyouts.** For buyout CEOs, success is clearly related to general ability and to execution/resoluteness-related skills. Interpersonal/team-related skills are not positively related to success.
- **Performance result for VC companies.** For VC-backed companies, the relations are weaker and more mixed. The paper interprets this as consistent with greater uncertainty and idiosyncratic volatility in VC-backed businesses.
- **Incumbency result.** Incumbent CEOs do not appear to perform better than outside candidates after controlling for measured talent and traits.
- **Economic takeaway.** CEO ability is not a black box. The paper shows that directly measured managerial attributes predict performance, and that execution/resoluteness appears more performance-relevant than interpersonal/team orientation in the buyout setting.

2 Incremental contribution of the paper

- **From “CEOs matter” to “which CEO traits matter.”** Earlier work such as Bertrand and Schoar establishes that managers have styles, but it does not observe detailed managerial traits. This paper opens the black box by measuring 30 CEO characteristics directly.
- **A direct empirical bridge to leadership theory.** The paper tests theory-motivated distinctions between resolute/execution-oriented CEOs and interpersonal/listening-oriented CEOs. It gives empirical content to theoretical models of leadership and overconfidence.
- **A novel proprietary assessment sample.** The data come from ghSMART reports used by private equity investors in actual CEO selection decisions. This provides a rare structured and comparable data set of CEO-candidate characteristics.
- **A dimensionality-reduction contribution.** The factor analysis shows that many desirable CEO traits collapse into two interpretable dimensions: general talent and the execution-versus-interpersonal spectrum.
- **An outcome contribution.** The paper links these measured traits to subsequent buyout and VC outcomes, using PE, public, and broad success measures.
- **An observables-versus-unobservables contribution.** The robustness analysis shows that education, experience, finance background, and college selectivity do not fully substitute for the proprietary traits.

The second factor and focused factors capture information not available in conventional biographical variables.

- **A practical governance contribution.** The findings speak directly to boards, PE investors, and CEO-search processes: traits associated with execution and accountability appear to have more predictive content than generic interpersonal virtues, at least in this setting.

3 Data and measurement

3.1 CEO assessment data

- The sample contains 316 CEO candidates assessed by ghSMART for companies involved in private equity transactions between 2000 and 2006.
- The companies are either buyout-backed or venture-capital-backed. The paper often analyzes these two groups separately.
- ghSMART is not a recruiting firm and does not choose candidates; it evaluates candidates under consideration by private equity investors.
- Each assessment is based on a structured interview lasting about four hours and produces a long report.
- The assessment scores 30 characteristics, each coded from 1 to 4: B or below equals 1, B+ equals 2, A- equals 3, and A or A+ equals 4.

Interpretation: The key empirical advantage is that the paper directly observes characteristics that usually remain latent. The main empirical limitation is that the assessments come from a selected sample of CEO candidates considered by PE investors.

3.2 Candidate and firm outcomes

- The authors track whether the candidate was hired, whether the PE investor invested in the company, and whether the CEO subsequently succeeded.
- The **PE measure** is based on PE firm reports about CEO success. It is the most precise but has the smallest coverage.
- The **public measure** supplements PE reports with public information about CEO and company outcomes.
- The **broad measure** expands the public measure by including broader evidence of company progress. It has the largest coverage but is the least precise.
- Outcomes are coded as 1 for success, 0.5 for mixed results, and 0 for failure.

Interpretation: The paper explicitly trades off precision and coverage. The PE measure is close to direct CEO performance assessment, while the broad measure allows more observations but adds noise.

3.3 Trait groups and factor construction

- The 30 traits are grouped by ghSMART into leadership, personal, intellectual, motivational, and interpersonal categories.
- The paper applies factor analysis to summarize the high-dimensional trait vector.
- Factor 1 loads positively on all traits and is interpreted as general ability.
- Factor 2 contrasts interpersonal/team traits with execution/resoluteness traits.
- The authors also construct focused execution and interpersonal factors using an oblique quartimin rotation.

Interpretation: Factor analysis is useful because many traits are correlated. The empirical question is whether performance is linked to broad talent, to execution, to interpersonal skills, or to some combination.

3.4 Observable controls

- Observable controls include years working, years in management, years in finance, college selectivity, and college SAT score.
- These variables are used to ask whether ghSMART traits simply proxy for more standard biographical measures.
- The paper finds that college selectivity and SAT are correlated with general ability, but the execution and interpersonal factors are largely orthogonal to these observables.

Interpretation: The observable-variable analysis is important because it shows that the structured interviews provide information beyond resumes.

4 Models and empirical specifications

4.1 Factor model

Let R_{ij} denote the score of candidate i on characteristic j . The factor representation can be written conceptually as

$$R_{ij} = \mu_j + \lambda_{j1}F_{i1} + \lambda_{j2}F_{i2} + \lambda_{j3}F_{i3} + \lambda_{j4}F_{i4} + u_{ij}.$$

- F_{i1} is interpreted as general talent because almost all loadings are positive.
- F_{i2} separates interpersonal traits from execution/resoluteness traits.
- The signs of factors are arbitrary, so interpretation depends on the pattern of loadings rather than the sign alone.

Interpretation: The factor model turns many correlated CEO attributes into a smaller number of interpretable managerial dimensions.

4.2 Individual characteristic performance regressions

For a success measure Y_i , Table V estimates regressions of the form

$$Y_i = \alpha + \beta_j R_{ij} + \tau_t + \varepsilon_i,$$

separately for each characteristic j and for buyout and VC CEOs.

- Y_i is the PE, public, or broad success measure.
- R_{ij} is the score on characteristic j .
- τ_t are year fixed effects.
- The coefficient β_j measures whether a higher score on one characteristic is associated with a higher success probability.

Interpretation: The coefficient can be read as a linear-probability-model association. The paper emphasizes patterns across traits rather than a single coefficient.

4.3 Factor regressions

Table VI estimates multivariate regressions such as

$$Y_i = \alpha + \beta_1 F_{i1} + \beta_2 F_{i2} + \delta Incumbent_i + \Gamma' FE_i + \varepsilon_i,$$

or, using focused factors,

$$Y_i = \alpha + \beta_E Execution_i + \beta_I Interpersonal_i + \delta Incumbent_i + \Gamma' FE_i + \varepsilon_i.$$

- Fixed effects include year, industry, and interviewer fixed effects in richer specifications.
- Regressions are estimated separately for buyout and VC CEOs.
- The focused-factor specification makes the execution-versus-interpersonal contrast easier to interpret.

Interpretation: The factor regressions ask whether the broad dimensions of CEO type predict outcomes after controlling for basic sample structure and incumbency.

4.4 Robustness with observable characteristics

Table VII estimates regressions of the form

$$Y_i = \alpha + \beta_1 F_{i1} + \beta_2 F_{i2} + \delta Incumbent_i + \Theta' Observable_i + \Gamma' FE_i + \varepsilon_i.$$

- Observable variables include work experience, management experience, finance experience, and college selectivity.
- The core factor coefficients are largely unchanged.

Interpretation: The result suggests that the trait assessments are not just proxies for education, experience, or finance background.

5 Identification and empirical design

5.1 What the design can identify

- The paper identifies associations between measured CEO traits and subsequent performance in PE-backed firms.
- The regressions are not randomized experiments; they do not prove that a CEO trait causally causes firm performance.
- The paper is strongest as evidence that managerial characteristics are measurable and predictive.

Interpretation: The appropriate reading is predictive and diagnostic, not fully causal.

5.2 Selection and matching concerns

- A central concern is endogenous matching: certain CEO types may be matched to certain firm types.
- The authors argue that this is unlikely to be the entire story because the patterns are not obviously consistent with favorable matching, and because non-hired candidates in firms with multiple assessments do not predict outcomes.
- Still, the paper cannot rule out all firm-candidate matching channels.

Interpretation: If promising firms hire more execution-oriented CEOs, performance associations might partially reflect firm quality. The paper addresses this concern but cannot eliminate it completely.

5.3 Measurement advantages and limitations

- The structured interview process provides richer information than resumes or public biographical variables.
- The assessment ratings may still contain evaluator noise, subjective judgment, and possible candidate self-presentation effects.
- Success measures are coarse because many portfolio companies are private.
- The PE measure is subjective but precise; public and broad measures have larger coverage but more noise.

Interpretation: The main strength is unusually rich measurement of CEO attributes; the main weakness is observational inference with imperfect outcome measurement.

6 Tables and figures

6.1 Table I: Descriptions of Individual Characteristics

Read:

- Table I defines the 30 characteristics scored in ghSMART interviews.
- It links each characteristic to concrete high-score and low-score behaviors, which makes the scores more interpretable than generic personality labels.
- Examples include Hires A Players, Removes Underperformers, Efficiency, Aggressive, Strategic Vision, Persistence, Listening Skills, Teamwork, and Accountable.
- The table clarifies the execution/interpersonal contrast: execution traits involve speed, persistence, accountability, and high standards; interpersonal traits involve respect, openness, listening, and teamwork.

Economic message: The table is the measurement foundation of the paper. The key contribution is not merely that CEOs are rated, but that ratings are tied to detailed behavioral definitions.

Table I
Descriptions of Individual Characteristics

Description information from ghSMART internal guidelines.

Characteristics	Description	Behavior Associated with High Score	Behavior Associated with Low Score
Leadership Hires A Players Develops People	Sources, recruits, and hires A Players. Coaches people in their current roles to improve performance, and prepares them for future roles. Removes C Players within 180 days. Achieves this through coaching-out, redeployment, demotion, or termination.	Hires A Players 90% of the time. Teams say that Candidate gives a lot of coaching/development. Many team members go on to bigger roles. Removes C Players within 180 days of taking a new role or hiring the person.	Hires A Players 25% of the time. Teams do not say that Candidate gives a lot of coaching. Team members do not go on to do better things. May remove occasional C Player, but keeps most of them, often for years.
Respect	Values others, treating them fairly and showing concern for their views and feelings.	Teams would say Candidate is fair and respectful. Candidate describes performance in terms of team efforts.	Candidate is self-absorbed. Team members might call Candidate abrasive, rough around the edges.
Efficiency	Able to produce significant output with minimal wasted effort.	Candidate gets a lot done in a short period of time.	Candidate's output is unimpressive. He is a "thinker" with poor execution.
Network	Possesses a large network of talented people.	Candidate has a proven ability to build a network very quickly.	Candidate does not have big network and shows limited ability to build one.
Flexible	Adjusts quickly to changing priorities and conditions. Copes with complexity and change.	Candidate is not bothered by new or changing circumstances. Faces change in a matter-of-fact manner.	Candidate bristles when changes take place, often blames others for not doing their jobs.
Personal Integrity	Does not cut corners ethically. Earns trust and maintains confidence.	Takes pride in always doing what is right.	Cuts corners, unaware of how actions are borderline unethical.

(Continued)

(a) Table I, part 1

Table I—Continued

Characteristics	Description	Behavior Associated with High Score	Behavior Associated with Low Score
Organization	Plans, organizes, schedules, and budgets in an efficient, productive manner.	Job accomplishments closely match goals. Candidate sets priorities.	Candidate's accomplishments do not match goals, and individual overreaches.
Calm	Maintains stable performance when under heavy pressure or stress.	Performs under a wide variety of circumstances, regardless of stress.	Overreacts to high pressure situations. Fails to accomplish goals under stress.
Aggressive	Moves quickly and takes a forceful stand without being overly abrasive.	Candidate sticks neck out with words and actions, even if upsets others.	Candidate takes a wait-and-see attitude, moving more slowly to minimize risk.
Past	Takes action quickly without getting bogged down by obstacles.	Candidate takes action and gets a lot done in a short period of time.	Candidate is slow to accomplish results.
Commitments	Lives up to verbal and written agreements, regardless of personal cost.	Gets the job done, no matter what.	Candidate is slow to verbal or written agreements.
Intellectual Brainpower	Learns quickly. Demonstrates ability to quickly understand and absorb new info.	High GPA and SAT scores, ability to pick-up new job details quickly.	Low GPA and SAT scores. May remain in same role for a long time.
Analytical Skills	Structures and processes qualitative or quantitative data and draws conclusions.	Cites multiple examples of problem solving skills.	Rarely solves problems through analysis. Heavy reliance on gut.
Strategic Vision	Able to see and communicate the big picture in an inspiring way.	Holds a big vision for current and future roles. Inspires others' vision.	Does not have a vision for current or future roles. Does not value planning.
Creative	Generates new and innovative approaches to problems.	Offers new and innovative solutions to intractable problems many times.	Rarely offers creative solutions.
Attention to Detail	Does not let important details slip through the cracks or derail a project.	Makes time to review the details. Asks penetrating questions.	Makes many mistakes because of ignoring small, but important details.
Motivational Enthusiasm	Exhibits passion and excitement over work. Has a "can do" attitude.	Displays high energy and a passion for the work.	Displays low energy and limited passion for the work.

(Continued)

(b) Table I, part 2

Table I—Continued

Characteristics	Description	Behavior Associated with High Score	Behavior Associated with Low Score
Persistence	Demonstrates tenacity and willingness to go the distance to get something done.	Never gives up. Sticks with assignments until they are done.	Has a track record of giving up.
Proactive	Acts without being told what to do. Brings new ideas to company.	Regularly brings new ideas into an organization. Self directed.	Never brings in new ideas. Takes direction / does not act until being told.
Work Ethic	Possesses a strong willingness to work hard and long hours to get the job done.	Works long, hard hours to get the job done.	Does just enough to get the job done.
High Standards	Expects personal performance and team performance to be the best.	Expects top performance from himself and from others around him.	Allows himself to do 80% of the job / lets poor performance from others slide.
Interpersonal Listening Skills	Lets others speak and seeks to understand their viewpoints.	Displays ability to listen to others to understand meaning.	Cuts people off, does not address questions, misunderstands.
Open to Criticism	Often solicits feedback and reacts calmly to receiving criticism.	Responds to criticism by finding ways to grow and become better.	Reacts to criticism by blaming others and becoming bitter.
Written Communication	Writes clearly and articulately using correct grammar.	Demonstrates ability to write clearly in all forms of communication.	Does not offer any evidence of being a strong writer.
Oral Communication	Speaks clearly and articulately without being overly verbose or talkative.	Speaks clearly, articulately, and succinctly.	Speaks too quickly or too slowly, mumbles, uses a lot of jargon, etc.
Teamwork	Reaches out to peers and cooperates with supervisors to establish relationship.	Recognizes the power of a strong team, and works collaboratively.	Prefers to operate in isolation. May not work harmoniously with others.
Persuasion	Able to convince others to pursue a course of action.	Convinces others to take a course of action, even if initially in opposition.	Fails to or never tries to convince others to take a course of action.
Holds People Accountable	Sets goals for team and follows up to ensure progress toward completion.	Sets goals, follows up, and holds people accountable for shortfalls.	Does not set goals, follow up, or hold people accountable.

Table I, part 3: remaining characteristics and behavior definitions.

6.2 Table II: Sample Description

Read:

- Panel A shows 316 candidates: 171 incumbents and 145 outsiders. Of incumbents, 159 are hired; of outsiders, 65 are hired.
- The hiring rate is therefore much higher for incumbents, but later regressions show that incumbency does not predict success after controlling for ability.
- The PE measure is available for 81 hired CEOs; 37 are successful, 30 unsuccessful, and 14 mixed.
- The public and broad measures expand coverage, with the broad measure classifying 208 CEOs.
- Most companies have one candidate assessed; 219 of 258 companies have only one candidate assessment.

Economic message: The sample is rich at the candidate level but limited in performance coverage. This explains why the paper uses three outcome measures with a precision-versus-coverage trade-off.

Table II
Sample Description

This table contains descriptive tabulations of 316 CEO candidates assessed from 2000 to 2006 by ghSMART for 258 companies that were considered by PE investors.

Panel A: Hiring and Incumbency					
<i>Full Sample</i>					
Hired					
Incumbent	0		1		Total
0	80		65		145
1	12		159		171
Total	92		224		316
Panel B: PE and Public Success Measures					
Success (Public Measure)	Success (PE Measure)				Total
	No	Mix	Yes	N/A	
No	30	4	0	33	67
Mix	0	3	0	2	5
Yes	0	2	37	15	54
N/A	0	5	0	93	98
Total	30	14	37	143	224
Panel C: Broad and Public Success Measures					
Success (Public Measure)	Success (Broad Measure)				Total
	No	Mix	Yes	N/A	
No	64	2	0	1	67
Mix	0	4	1	0	5
Yes	0	0	54	0	54
N/A	20	26	37	15	98
Total	84	32	92	16	224
Panel D: Candidates Assessed per Company					
Candidates Interviewed					Freq.
1					219
2					26
3					9
4					2
5					2
Total					258

Table II: Sample Description.

6.3 Table III: Descriptive Statistics of Ratings

Read:

- Panel A shows meaningful variation in ratings; most standard deviations are around one on a 1-to-4 scale.
- High average ratings on Integrity and Work Ethic suggest that CEO candidates considered by PE investors tend to be strong on basic professional attributes.
- Lower means on traits such as Removes Underperformers, Attention to Details, and Open to Criticism indicate that the assessments discriminate across candidates.
- Panel B compares buyout and VC candidates, and incumbents and outsiders, revealing differences in candidate composition before examining performance.

Economic message: The table shows that the ratings are not degenerate. There is enough cross-sectional variation to study which managerial dimensions matter.

Table III
Descriptive Statistics of Ratings

This table presents mean rating, number of observations, and standard deviation of the individual characteristics for 316 CEO candidates assessed by ghSMART for PE-funded companies from 2000 to 2006. Scores are coded from 1 to 4, where grades by ghSMART of B or below are coded as 1, grades of B+ are coded as 2, grades of A- are coded as 3, and grades of A and A+ are coded as 4. Statistically significant differences at the 1%, 5%, and 10% levels are indicated by ***, **, and *.

	Mean	Obs.	Std. Dev.
Hires A Players	2.201	314	1.139
Develops People	2.248	315	1.138
Removes Underperformers	1.914	314	1.131
Respect	2.910	310	1.233
Efficiency	2.868	311	1.158
Network	2.619	312	1.197
Flexibility	2.603	310	1.212
Integrity	3.594	308	0.851
Organization	2.752	311	1.183
Calm	3.188	309	1.055
Aggressive	3.136	308	1.037
Fast	3.023	309	1.115
Commitments	3.340	312	0.966
Brainpower	2.865	312	1.103
Analysis	2.579	311	1.239
Strategic Vision	2.562	313	1.226
Creative	2.671	313	1.142
Attention to Details	2.170	312	1.162
Enthusiasm	3.016	313	1.079
Persistence	3.425	294	0.909
Proactive	3.354	308	0.993
Work Ethic	3.564	312	0.795
High Standards	2.961	311	1.106
Listening Skills	2.534	313	1.214
Open to Criticism	2.287	307	1.192
Written Communication	2.672	244	1.210
Oral Communication	2.961	311	1.034
Teamwork	2.707	311	1.200
Persuasion	2.955	313	1.097
Accountable	2.545	308	1.189

(Continued)

II. Distribution of Managerial Characteristics

A. Ratings

Panel A of Table III presents the means and standard deviations for the 30 characteristics in the data. Panel A indicates a fair amount of variation in the ratings of CEO candidates, with most standard deviations exceeding one. The two characteristics with the highest means and lowest standard deviations are Work Ethic and Integrity, suggesting that candidates considered for CEO positions are perceived to have high integrity and a strong work ethic.

(a) Table III, Panel A: Distribution of ratings

	Buyout		Venture Capital		Diff in Means		p-value		Incumbents		Outsiders		Diff in Means		p-value	
	Mean	Obs.	Mean	Obs.					Mean	Obs.	Mean	Obs.				
Hires A Players	2.143	147	2.251	167	-0.108	0.400	2.012	169	2.421	145	-0.409	0.001***				
Develops People	2.257	148	2.240	167	0.017	0.894	2.088	170	2.434	145	-0.346	0.007***				
Removes Underperf.	1.832	147	1.898	167	-0.064	0.792	1.834	169	2.007	145	-0.173	0.178				
Respect	3.082	147	2.755	163	0.327	0.019**	2.929	169	2.887	141	0.042	0.763				
Efficiency	2.808	146	2.921	165	-0.113	0.391	2.740	169	3.021	142	-0.281	0.032**				
Network	2.497	147	2.578	165	-0.081	0.504	2.497	169	2.762	143	-0.265	0.051*				
Flexibility	2.747	146	2.478	164	0.271	0.049**	2.538	165	2.704	142	-0.186	0.175				
Integrity	3.648	145	3.546	163	0.102	0.293	3.588	165	3.601	143	-0.014	0.890				
Organization	2.767	146	2.739	165	0.028	0.837	2.619	168	2.909	143	-0.290	0.031***				
Calm	3.103	145	3.262	164	-0.159	0.187	3.137	168	3.248	141	-0.111	0.357				
Aggressive	3.116	146	3.154	162	-0.038	0.749	3.222	167	3.035	141	0.186	0.117				
Fast	3.014	145	3.030	164	-0.016	0.986	3.050	168	2.979	141	0.081	0.527				
Commitments	3.483	147	3.212	165	0.271	0.013**	3.320	169	3.364	143	-0.044	0.688				
Brainpower	2.755	147	2.964	165	-0.209	0.096*	2.935	168	2.785	144	0.150	0.232				
Analysis	2.514	144	2.635	167	-0.121	0.392	2.462	169	2.718	142	-0.257	0.009				
Strategic Vision	2.422	147	2.687	166	-0.265	0.056*	2.618	170	2.497	143	0.121	0.385				
Creative	2.660	147	2.681	166	-0.021	0.772	2.781	169	2.542	144	0.239	0.065*				
Attention to Details	2.422	147	1.945	165	0.477	0.000***	2.133	168	2.238	144	-0.123	0.352				
Enthusiasm	3.108	148	2.933	165	0.175	0.153	3.035	170	2.993	143	0.042	0.739				
Persistence	3.382	141	3.281	153	0.101	0.094**	3.484	159	3.356	135	0.129	0.227				
Proactive	3.441	145	3.278	163	0.165	0.145	3.395	167	3.305	141	0.090	0.427				
Work Ethic	3.596	146	3.536	166	0.060	0.509	3.521	167	3.614	145	-0.083	0.305				
High Standards	3.054	147	2.878	164	0.176	0.161	2.989	168	3.070	143	-0.201	0.111				
Listening Skills	2.696	148	2.388	165	0.308	0.025**	2.482	170	2.594	143	-0.112	0.417				
Open to Criticism	2.462	145	2.130	162	0.332	0.014**	2.204	167	2.386	140	-0.182	0.183				
Written Communication	2.630	127	2.718	117	-0.088	0.571	2.677	130	2.667	114	0.010	0.947				
Oral Communication	2.966	147	2.957	164	0.009	0.941	2.846	169	3.099	142	-0.252	0.032**				
Teamwork	2.808	146	2.618	165	0.190	0.164	2.675	169	2.746	142	-0.072	0.599				
Persuasion	3.007	148	2.909	165	0.098	0.432	2.971	170	2.857	143	0.054	0.788				
Accountable	2.648	145	2.454	163	0.194	0.153	2.361	166	2.761	142	-0.399	0.003***				
Wilcoxon Signed Rank Test					0.017**						0.028**					

(b) Table III, Panel B: Buyout/VC and incumbent/outsider comparisons

6.4 Table IV: Factor Analysis

Read:

- Panel A reports that Factor 1 has eigenvalue 7.747 and explains 53.0% of the variance.
- Factor 1 loads positively on all listed characteristics, supporting the interpretation as general ability.
- Factor 2 has eigenvalue 2.976 and explains 20.4% of the variance.
- Factor 2 loads positively on interpersonal traits such as Respect, Listening Skills, Open to Criticism, and Teamwork, and negatively on execution/resoluteness traits such as Fast, Aggressive, Persistence, Proactive, Work Ethic, High Standards, and Accountable.
- Panel B isolates focused factors: the execution factor loads on Fast, Aggressive, Persistence, Proactive, Work Ethic, and High Standards; the interpersonal factor loads on Respect, Open to Criticism, Listening Skills, Teamwork, Integrity, and Develops People.

Economic message: The table provides the main dimensionality-reduction result: CEO candidates differ in general ability and in the balance between execution/resoluteness and interpersonal/team orientation.

Table IV
Factor Analysis

Panel A presents factor loadings on the first four factors based on 30 characteristics for 316 CEO candidates assessed by ghSMART for PE-funded companies from 2000 to 2006. Panel B presents factor loadings on the two focused factors after an oblique quartimin rotation. In Panel A loadings with absolute values less than 0.1 are left blank; in Panel B the threshold is 0.2.

Panel A: Factor Loadings for Broad Factors				
	Factor 1	Factor 2	Factor 3	Factor 4
Eigenvalue	7.747	2.976	1.665	1.227
Pct. Explained	0.530	0.204	0.114	0.084
Cumulative Pct.	0.530	0.734	0.848	0.932
Hires A Players	0.552		0.206	-0.108
Develops People	0.512	0.274		-0.180
Removes Underperf.	0.452	-0.135	0.244	-0.236
Respect	0.355	0.651	-0.179	
Efficiency	0.683	-0.135		-0.104
Network	0.582			
Flexibility	0.535	0.246	-0.108	0.110
Integrity	0.329	0.322		
Organization	0.516		0.427	-0.117
Calm	0.373	0.258		
Aggressive	0.482	-0.481	-0.231	
Fast	0.504	-0.535	-0.241	
Commitments	0.629	-0.125		-0.213
Brainpower	0.483	-0.182	0.260	0.434
Analysis	0.461	-0.106	0.503	0.251
Strategic	0.529	-0.199	0.110	0.474
Creative	0.468	-0.133		0.386
Attention to Details	0.341	0.149	0.351	-0.231
Enthusiasm	0.440	0.156	-0.463	
Persistence	0.564	-0.347	-0.288	
Proactive	0.657	-0.332	-0.273	
Work Ethic	0.430	-0.278		
High Standards	0.664	-0.267		-0.252
Listening Skills	0.450	0.599		
Open to Criticism	0.441	0.616		
Written Communication	0.444	0.139	0.306	0.316
Oral Communication	0.521	0.237	-0.124	0.156
Teamwork	0.514	0.519	-0.145	
Persuasion	0.553		-0.405	0.123
Accountable	0.548	-0.218	0.291	-0.385
Panel B: Factor Loadings for Focused Factors				
	Execution Factor		Interpers. Factor	
Fast	0.781			
Aggressive	0.718			
Persistence	0.714			
Proactive	0.767			
Work Ethic	0.524			
High Standards	0.641			
Respect			0.746	
Open to Criticism			0.763	
Listening Skills			0.755	
Teamwork			0.732	
Integrity			0.449	
Develops People			0.483	

Table IV: Factor Analysis.

6.5 Table V: Individual Characteristics and Performance

Read:

- Table V estimates separate regressions of performance on each individual characteristic.
- For buyout CEOs, many characteristics are positively related to success, but the strongest patterns are for execution/resoluteness traits.
- Efficiency, Organization, Commitments, Persistence, Proactive, High Standards, and Accountable are especially important in the buyout sample.
- Interpersonal traits do not show the same positive pattern, and Teamwork is weakly negative in some VC specifications.

- The paper highlights the economic magnitude: moving Efficiency from 3 to 4 is associated with a roughly 20.8 percentage point increase in success probability in the first buyout PE-measure specification.

Economic message: The univariate evidence suggests that “getting things done” traits are more performance-relevant than generic people skills, especially in buyouts.

Table V
Individual Characteristics and Performance

Each entry presents an OLS regression of the indicated success measure on the specified characteristic and 6-year fixed effects. Beta is the coefficient on the characteristic. The p -value is the statistical significance of this coefficient calculated using robust standard errors. Coefficients on the year fixed effects are unreported. The number of observations in each regression is indicated in square brackets. The Wilcoxon signed rank test is a nonparametric test of the beta coefficients equaling zero. Statistical significance at the 1%, 5%, and 10% levels is indicated by ***, **, and *.

	Buyout I									VC								
	PE Measure			Public Measure			Broad Measure			PE Measure			Public Measure			Broad Measure		
	Beta	Obs	p -val	Beta	Obs	p -val	Beta	Obs	p -val	Beta	Obs	p -val	Beta	Obs	p -val	Beta	Obs	p -val
Hires A Players	0.104	[32]	0.112	0.096	[57]	0.057*	0.068	[88]	0.069*	0.080	[49]	0.118	0.011	[69]	0.821	0.009	[120]	0.778
Develops Peop.	-0.006	[32]	0.944	0.059	[57]	0.341	0.036	[88]	0.381	-0.020	[49]	0.732	-0.036	[69]	0.480	-0.051	[120]	0.153
Removes Unde.	0.106	[32]	0.138	0.097	[57]	0.081*	0.079	[88]	0.040**	0.135	[49]	0.020**	0.033	[69]	0.504	0.016	[120]	0.645
Respect	-0.160	[32]	0.171	-0.076	[57]	0.281	-0.037	[88]	0.369	-0.085	[48]	0.127	-0.040	[68]	0.374	-0.032	[117]	0.318
Efficiency	0.208	[32]	0.012**	0.219	[57]	0.000***	0.131	[87]	0.001***	-0.023	[49]	0.724	-0.083	[69]	0.138	-0.060	[118]	0.101
Network	0.081	[32]	0.323	0.077	[57]	0.176	0.036	[88]	0.324	-0.016	[49]	0.759	-0.043	[69]	0.383	-0.020	[119]	0.563
Flexibility	-0.083	[32]	0.187	-0.078	[57]	0.186	-0.057	[87]	0.145	-0.064	[48]	0.305	-0.035	[68]	0.487	-0.038	[118]	0.243
Integrity	-0.030	[32]	0.910	0.103	[57]	0.193	0.043	[87]	0.488	-0.080	[49]	0.545	-0.028	[68]	0.716	-0.042	[118]	0.295
Organization	0.150	[31]	0.019**	0.127	[57]	0.026**	0.088	[87]	0.020**	-0.043	[49]	0.491	-0.028	[69]	0.578	-0.042	[118]	0.194
Calm	0.085	[32]	0.387	0.028	[57]	0.677	0.039	[87]	0.422	-0.074	[48]	0.204	-0.056	[68]	0.282	-0.028	[118]	0.443
Aggressive	0.164	[32]	0.112	0.122	[57]	0.100	0.066	[87]	0.187	0.101	[48]	0.159	0.011	[68]	0.867	0.004	[116]	0.930
Fast	0.126	[31]	0.201	0.085	[56]	0.183	0.054	[86]	0.213	0.078	[49]	0.172	0.082	[68]	0.137	0.052	[119]	0.164
Commitments	0.378	[32]	0.002***	0.310	[57]	0.000***	0.123	[88]	0.020**	-0.046	[48]	0.405	-0.108	[68]	0.047**	-0.086	[119]	0.018**
Brainpower	0.122	[32]	0.140	0.053	[57]	0.379	0.044	[88]	0.244	0.072	[48]	0.280	0.112	[68]	0.053*	0.051	[118]	0.184
Analysis	0.149	[32]	0.017**	0.060	[57]	0.256	0.052	[86]	0.187	0.009	[49]	0.885	0.018	[69]	0.722	0.014	[120]	0.690
Strategic Vision	0.031	[32]	0.683	0.048	[57]	0.407	0.052	[87]	0.209	0.114	[48]	0.047**	0.030	[68]	0.529	0.021	[119]	0.515
Creative	-0.008	[32]	0.913	0.045	[57]	0.515	0.043	[88]	0.352	0.124	[48]	0.060*	0.084	[68]	0.096*	0.053	[119]	0.126
Attn to Details	0.179	[32]	0.009***	0.085	[57]	0.142	0.047	[88]	0.302	-0.074	[49]	0.190	-0.058	[68]	0.254	-0.052	[118]	0.157
Enthusiasm	-0.159	[32]	0.100	-0.033	[57]	0.722	-0.064	[88]	0.219	0.010	[48]	0.880	0.012	[68]	0.846	-0.027	[119]	0.481
Persistence	0.506	[32]	0.000***	0.462	[56]	0.000***	0.191	[84]	0.022**	0.023	[44]	0.773	0.036	[64]	0.593	-0.016	[111]	0.737
Proactive	0.426	[32]	0.000***	0.228	[57]	0.004***	0.149	[86]	0.021**	0.135	[47]	0.024**	0.133	[67]	0.019**	0.039	[116]	0.357
Work Ethic	0.156	[32]	0.111	0.069	[57]	0.516	0.102	[87]	0.222	0.108	[49]	0.263	0.037	[68]	0.718	-0.052	[119]	0.261
High Standards	0.220	[32]	0.047**	0.148	[57]	0.015**	0.092	[88]	0.029**	0.094	[48]	0.116	-0.017	[67]	0.784	-0.022	[118]	0.553
Listening Skills	-0.032	[32]	0.724	0.014	[57]	0.824	0.000	[88]	0.991	-0.067	[48]	0.236	-0.062	[68]	0.166	-0.055	[119]	0.086*
Open to Critic.	0.053	[32]	0.477	0.050	[57]	0.381	0.040	[87]	0.306	-0.069	[48]	0.208	-0.071	[67]	0.120	-0.028	[116]	0.413
Written Comm.	0.126	[29]	0.206	0.106	[48]	0.121	0.067	[74]	0.114	0.063	[34]	0.357	0.045	[51]	0.373	0.010	[82]	0.801
Oral Comm.	-0.117	[32]	0.061*	-0.010	[57]	0.883	-0.025	[88]	0.603	0.029	[48]	0.657	-0.047	[68]	0.409	-0.057	[119]	0.117
Teamwork	-0.212	[32]	0.071*	0.017	[57]	0.775	0.040	[87]	0.321	-0.138	[49]	0.013**	-0.105	[69]	0.019**	-0.079	[119]	0.012**
Persuasion	-0.001	[32]	0.991	0.084	[57]	0.242	0.050	[88]	0.239	-0.003	[48]	0.956	-0.010	[68]	0.862	-0.013	[119]	0.712
Accountable	0.147	[32]	0.036**	0.148	[56]	0.006***	0.094	[87]	0.008***	0.015	[47]	0.792	-0.055	[67]	0.258	-0.050	[117]	0.130
Wilcoxon Signed Rank Test			0.010***			0.000***			0.000***			0.382			0.344			0.012**

Table V: Individual Characteristics and Performance.

6.6 Figure 1: Individual Characteristics and Performance

Read:

- Panel A plots success rates by score for buyout candidates, separately for execution and interpersonal traits and for the PE and public performance measures.
- The buyout panel visually reinforces Table V: success rates tend to rise with execution-related scores.
- Interpersonal traits do not display the same monotone increase.
- Panel B repeats the exercise for VC candidates. Patterns are weaker and often less monotone, consistent with noisier VC outcomes and different managerial needs.
- The figure is useful because it shows raw nonparametric success-rate patterns, not just regression coefficients.

Economic message: The visual evidence makes the main distinction intuitive: execution-oriented ratings line up with success in buyouts, while interpersonal ratings do not clearly do so.

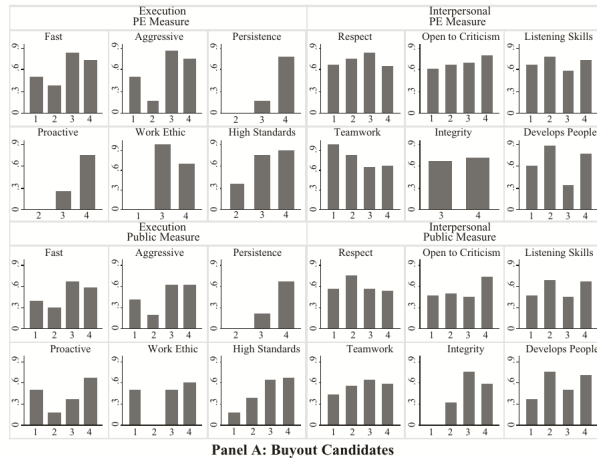


Figure 1. Individual characteristics and performance. The histograms plot the relationships between scores in selected individual characteristics and performance. The vertical axis contains the success rate, measured as the fraction of CEO candidates that are successful according to the performance measure. The horizontal scale indicates the score on the characteristic, coded from 1 (lowest) to 4 (highest), as defined in the text. Panel A contains buyout candidates, and Panel B contains VC candidates. The left plots contain the six characteristics associated with the execution factor, and the right plots contain the six characteristics associated with the interpersonal factor. The top plots use the PE measure as the performance measure, and the bottom plots use the public measure. When a score is reported but there is no bar (e.g., a score of 2 for persistence for buyout candidates), the score was given to some candidates but they were all unsuccessful (a success rate of zero). When the score is unreported (e.g., a score of 1 for persistence for buyout candidates), the score was not given to any candidate in the sample.

focused execution and interpersonal factors. Consistent with the regressions, higher scores on the execution-related characteristics tend to be associated with higher success rates. In contrast, higher scores on the interpersonal-related characteristics do not show such a tendency.

Overall, these results are consistent with the theoretical predictions. First, talent, generally, does appear to be measurable and to predict performance, as assumed in models like *Rosen (1981)*. Second, as predicted by *Bolton, Brunnermeier, and Veldkamp (2008)*, resoluteness and execution skills appear to be

(a) Figure 1, Panel A: Buyout candidates

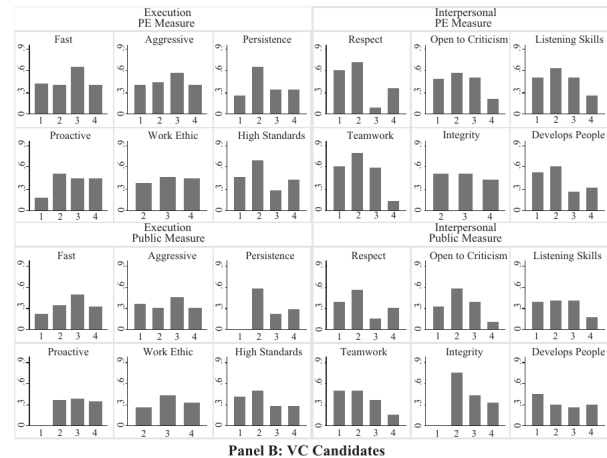


Figure 1. Continued

scores on Efficiency tend to score higher on Proactive, and we cannot double-count the increases in success probability. To sort out these effects and obtain more accurate estimates of the total economic magnitudes, we present a multivariate factor analysis below.

Turning to the estimates for VC firms, *Table V* shows mixed results. The magnitudes of the coefficients are smaller and only about half of them are positive. The Wilcoxon signed rank test does not find strong evidence that CEOs with higher scores perform better. Note that the weaker VC findings are not due to a smaller sample size.

In *Figure 1*, Panel B presents the results graphically, plotting success rates (using the PE and public measures) as a function of CEO ratings for the six characteristics that comprise the focused execution and interpersonal factors.

As with the buyout sample, there is no evidence that interpersonal- or communication-related skills are positively related to performance. In fact, teamwork tends to be negatively related to performance. The effects of the remaining execution skills are mixed, with Proactive being positive and Commitments being negative.

(b) Figure 1, Panel B: VC candidates

6.7 Table VI: Factor Regressions

Read:

- Panel A shows that for buyout CEOs, Factor 1 is positively related to performance across outcome measures and fixed-effect specifications.
- In the PE-measure specification, a one-standard-deviation increase in Factor 1 corresponds to roughly a 28 percentage point increase in success probability.
- Factor 2 is negative for buyouts. Since negative values of Factor 2 correspond to stronger execution/resoluteness, this implies that execution orientation predicts success.
- Panel B confirms the interpretation: the focused Execution Factor is positive and significant across buyout specifications, while the Interpersonal Factor is not.
- Panels C and D show weaker VC results. General talent is not consistently positive, and the interpersonal factor is generally negative.
- Incumbency is not consistently significant, suggesting that firm-specific insider status does not dominate measured CEO ability.

Economic message: Table VI is the core multivariate result. It shows that general ability and execution/resoluteness matter for buyout performance, while interpersonal/team skills are not the main driver.

Table VI
Factor Regressions

The table presents coefficients from OLS regressions for success of 316 CEO candidates assessed by ghSMART for PE-funded companies from 2000 to 2006. The endogenous variable is one of the three outcome measures: the PE measure is based on responses from PE firms, the public measure supplements the PE measure with public information on CEO and company outcomes, and the broad measure supplements the public measure with public information on CEO and company progress. Independent variables include the broad factors (Panel A) and the focused factors (Panel B) from the factor analysis described in Table IV. The specifications include fixed effects for 7 years, five industry classifications, and 11 interviewers, as indicated. *p*-values are reported in parentheses, and statistical significance at the 1%, 5%, and 10% levels is indicated by ***, **, and *, respectively. All standard errors are robust.

Panel A: Buyout Candidates, Broad Factors												
	(1) PE Measure	(2) PE Measure	(3) PE Measure	(4) PE Measure	(5) Public Measure	(6) Public Measure	(7) Public Measure	(8) Public Measure	(9) Broad Measure	(10) Broad Measure	(11) Broad Measure	(12) Broad Measure
Factor 1	0.294*** (0.004)	0.287** (0.031)	0.261** (0.043)	0.275 (0.277)	0.339*** (0.000)	0.314*** (0.000)	0.305*** (0.002)	0.329*** (0.001)	0.163*** (0.002)	0.154*** (0.003)	0.165*** (0.002)	0.199*** (0.001)
Factor 2	-0.186** (0.012)	-0.260*** (0.008)	-0.213** (0.046)	-0.241 (0.134)	-0.055 (0.394)	-0.064 (0.393)	-0.040 (0.643)	-0.129 (0.215)	-0.054 (0.265)	-0.059 (0.264)	-0.042 (0.441)	-0.086 (0.136)
Incumbent	0.000 (0.998)	0.016 (0.922)	0.078 (0.604)	0.025 (0.940)	0.164 (0.153)	0.145 (0.213)	0.158 (0.207)	0.164 (0.270)	0.101 (0.264)	0.075 (0.400)	0.106 (0.250)	0.100 (0.341)
Constant	0.568*** (0.000)	0.236 (0.474)	0.637** (0.031)	0.712 (0.356)	0.368*** (0.000)	0.130 (0.337)	0.362 (0.138)	0.585* (0.057)	0.453*** (0.000)	0.323*** (0.010)	0.567*** (0.008)	0.662*** (0.004)
Year FE	No	Yes	Yes	Yes	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Industry FE	No	No	Yes	Yes	No	No	Yes	Yes	No	No	Yes	Yes
Interviewer FE	No	No	No	Yes	No	No	No	Yes	No	No	No	Yes
Observations	32	32	32	32	57	57	57	57	88	88	88	88
R ²	0.290	0.414	0.569	0.652	0.259	0.308	0.335	0.532	0.109	0.156	0.219	0.354

(Continued)

Table VI, Panel A: Buyout candidates, broad factors.

Table VI—Continued

Panel B: Buyout Candidates, Focused Factors												
	(1) PE Measure	(2) PE Measure	(3) PE Measure	(4) PE Measure	(5) Public Measure	(6) Public Measure	(7) Public Measure	(8) Public Measure	(9) Broad Measure	(10) Broad Measure	(11) Broad Measure	(12) Broad Measure
Execution Factor	0.332*** (0.004)	0.374*** (0.005)	0.342*** (0.003)	0.391*** (0.015)	0.239*** (0.004)	0.227*** (0.005)	0.213*** (0.009)	0.307*** (0.001)	0.143** (0.015)	0.142** (0.021)	0.152*** (0.010)	0.218*** (0.000)
Interpers. Factor	-0.028 (0.701)	-0.161 (0.166)	-0.076 (0.562)	-0.166 (0.391)	0.117 (0.103)	0.087 (0.308)	0.128 (0.192)	0.044 (0.691)	0.043 (0.412)	0.035 (0.508)	0.069 (0.218)	0.047 (0.465)
Incumbent	-0.125 (0.382)	-0.128 (0.398)	-0.064 (0.654)	-0.220 (0.337)	0.043 (0.725)	0.022 (0.863)	0.041 (0.752)	0.017 (0.912)	0.066 (0.471)	0.041 (0.650)	0.079 (0.395)	0.063 (0.547)
Constant	0.619*** (0.000)	0.400 (0.346)	0.828*** (0.016)	1.146*** (0.025)	0.428*** (0.000)	0.170 (0.323)	0.434* (0.066)	0.802*** (0.006)	0.457*** (0.000)	0.325*** (0.018)	0.611*** (0.006)	0.788*** (0.001)
Year FE	No	Yes	Yes	Yes	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Industry FE	No	No	Yes	Yes	No	Yes	No	No	No	Yes	No	Yes
Interviewer FE	No	No	No	Yes	No	No	No	No	No	Yes	No	Yes
Observations	32	32	32	32	57	57	57	57	88	88	88	88
R ²	0.216	0.358	0.539	0.676	0.159	0.228	0.283	0.473	0.073	0.124	0.205	0.345

(Continued)

Table VI—Continued

Panel C: VC Candidates, Broad Factors												
	(1) PE Measure	(2) PE Measure	(3) PE Measure	(4) PE Measure	(5) Public Measure	(6) Public Measure	(7) Public Measure	(8) Public Measure	(9) Broad Measure	(10) Broad Measure	(11) Broad Measure	(12) Broad Measure
Factor 1	-0.088 (0.180)	0.021 (0.789)	0.024 (0.785)	-0.006 (0.961)	-0.063 (0.309)	-0.002 (0.980)	-0.014 (0.865)	-0.044 (0.375)	-0.051 (0.173)	-0.035 (0.284)	-0.036 (0.378)	-0.074* (0.096)
Factor 2	-0.095 (0.114)	-0.140** (0.017)	-0.132** (0.039)	-0.119 (0.109)	-0.055 (0.281)	-0.091* (0.097)	-0.072 (0.228)	-0.097 (0.210)	-0.057 (0.141)	-0.070* (0.085)	-0.067 (0.110)	-0.068 (0.176)
Incumbent	0.065 (0.683)	0.060 (0.697)	0.015 (0.935)	-0.061 (0.734)	0.162 (0.188)	0.197 (0.116)	0.145 (0.293)	0.059 (0.706)	0.104 (0.235)	0.114 (0.199)	0.113 (0.228)	0.074 (0.444)
Constant	0.398*** (0.007)	0.300* (0.063)	0.381* (0.094)	0.578* (0.055)	0.213** (0.047)	0.123 (0.384)	0.307 (0.175)	0.381 (0.205)	0.315*** (0.000)	0.347*** (0.000)	0.362** (0.000)	0.395** (0.026)
Year FE	No	Yes	Yes	Yes	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Industry FE	No	No	Yes	No	No	Yes	No	Yes	No	No	Yes	Yes
Interviewer FE	No	No	No	Yes	No	No	No	Yes	No	No	No	Yes
Observations	49	49	49	49	69	69	69	69	120	120	120	120
R ²	0.114	0.238	0.252	0.350	0.068	0.120	0.151	0.244	0.054	0.065	0.069	0.145

(Continued)

(a) Table VI, Panel B: Buyout candidates, focused factors

(b) Table VI, Panel C: VC candidates, broad factors

Table VI—Continued

Panel D: VC Candidates, Focused Factors												
	(1) PE Measure	(2) PE Measure	(3) PE Measure	(4) PE Measure	(5) Public Measure	(6) Public Measure	(7) Public Measure	(8) Public Measure	(9) Broad Measure	(10) Broad Measure	(11) Broad Measure	(12) Broad Measure
Execution Factor	-0.015 (0.831)	0.083 (0.274)	0.074 (0.382)	0.070 (0.524)	-0.012 (0.856)	0.050 (0.500)	0.036 (0.665)	0.074 (0.487)	-0.009 (0.817)	0.011 (0.804)	0.008 (0.870)	-0.002 (0.974)
Interpers. Factor	-0.143** (0.040)	-0.116 (0.109)	-0.109 (0.173)	-0.110 (0.184)	-0.097* (0.080)	-0.089 (0.111)	-0.078 (0.180)	-0.113 (0.120)	-0.082** (0.034)	-0.084** (0.038)	-0.083** (0.043)	-0.102** (0.043)
Incumbent	0.075 (0.627)	0.059 (0.698)	0.018 (0.921)	-0.063 (0.721)	0.174 (0.146)	0.198 (0.107)	0.150 (0.273)	0.074 (0.634)	0.110 (0.199)	0.119 (0.173)	0.118 (0.199)	0.087 (0.372)
Constant	0.386*** (0.007)	0.308* (0.064)	0.389* (0.087)	0.578** (0.043)	0.200* (0.054)	0.126 (0.367)	0.300 (0.172)	0.328 (0.226)	0.327*** (0.000)	0.345*** (0.000)	0.357** (0.027)	0.377** (0.032)
Year FE	No	Yes	Yes	Yes	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Industry FE	No	No	Yes	Yes	No	No	Yes	Yes	No	No	Yes	Yes
Interviewer FE	No	No	No	Yes	No	No	No	Yes	No	No	No	Yes
Observations	49	49	49	49	69	69	69	69	120	120	120	120
R ²	0.118	0.231	0.243	0.350	0.073	0.126	0.156	0.253	0.056	0.067	0.071	0.141

Table VI, Panel D: VC candidates, focused factors.

6.8 Table VII: Correlations with Observable Characteristics

Read:

- Panel A correlates factors with college selectivity, SAT, work experience, management experience, and finance experience.
- College selectivity and SAT are correlated with general ability, but not with the execution/interpersonal distinction.
- Experience variables are not strongly correlated with the factor structure.
- Panel B adds observable variables to the success regressions.
- Factor coefficients remain qualitatively similar, implying that the assessment data contain information beyond conventional resume characteristics.
- Years in finance is positive in some buyout public-measure regressions, and college selectivity is positive in some VC broad-measure regressions, but these do not overturn the main trait results.

Economic message: Table VII shows that the proprietary CEO characteristics are not simply re-labeled education or experience. The second/focused factors are distinct from the standard observable variables used in many CEO studies.

Table VII
Correlations with Observable Characteristics

The table presents correlations and regressions using observable variables for college selectivity, college SAT scores, years working, years in management, and years in finance for 316 CEO candidates assessed by ghSMART for PE-funded companies from 2000 to 2006.

Panel A: Pair-wise Correlations of Factors and Observables

	Factor 1	Factor 2	Execution Factor	Interpersonal Factor	College Selectivity	College SAT	Years Working	Years Mgmt	Years Finance
Factor 1	1.000								
Factor 2	-0.003 (0.955)	1.000							
Execution Factor	0.755 (0.000)	-0.541 (0.000)	1.000						
Interpersonal Factor	0.595 (0.000)	0.760 (0.000)	0.100 (0.077)	1.000					
College Selectivity	0.114 (0.044)	0.026 (0.650)	0.015 (0.795)	0.045 (0.425)	1.000				
College SAT	0.160 (0.007)	-0.009 (0.880)	0.067 (0.261)	0.059 (0.324)	0.900 (0.000)	1.000			
Years Working	0.006 (0.921)	0.048 (0.399)	-0.019 (0.743)	0.031 (0.590)	-0.199 (0.000)	-0.206 (0.001)	1.000		
Years Management	-0.026 (0.650)	-0.033 (0.562)	-0.011 (0.844)	-0.056 (0.226)	-0.074 (0.197)	-0.015 (0.798)	0.631 (0.000)	1.000	
Years Finance	0.050 (0.380)	-0.035 (0.540)	0.034 (0.554)	0.000 (0.999)	0.032 (0.576)	-0.059 (0.329)	0.047 (0.411)	-0.115 (0.042)	1.000

(Continued)

(a) Table VII, Panel A: Factor-observable correlations

Table VII—Continued

Panel B: Success Regressions

	(1) Buyout PE Measure	(2) Buyout PE Measure	(3) Buyout Public Measure	(4) Buyout Public Measure	(5) Buyout Broad Measure	(6) Buyout Broad Measure	(7) VC PE Measure	(8) VC PE Measure	(9) VC Public Measure	(10) VC Public Measure	(11) VC Broad Measure	(12) VC Broad Measure
Factor 1	0.231** (0.031)		0.344*** (0.000)		0.184*** (0.000)		-0.002 (0.982)		-0.022 (0.771)		-0.061 (0.137)	
Factor 2	-0.224 (0.110)		-0.045 (0.530)		-0.054 (0.301)		-0.152** (0.031)		-0.100* (0.084)		-0.081** (0.047)	
Execution Factor		0.381** (0.010)		0.248*** (0.008)		0.165** (0.010)		0.071 (0.431)		0.026 (0.743)		0.006 (0.896)
Interpers. Factor		-0.124 (0.413)		0.112 (0.186)		0.050 (0.363)		-0.141* (0.072)		-0.120** (0.048)		-0.109*** (0.007)
Incumbent	0.076 (0.655)	-0.026 (0.881)	0.162 (0.162)	0.055 (0.657)	0.100 (0.272)	0.063 (0.497)	0.127 (0.476)	0.132 (0.456)	0.218 (0.104)	0.225* (0.092)	0.140 (0.122)	0.148 (0.101)
Years Working	-0.013 (0.461)	-0.001 (0.951)	-0.020* (0.089)	-0.017 (0.196)	-0.013 (0.142)	-0.012 (0.207)	0.009 (0.474)	0.009 (0.467)	0.010 (0.414)	0.011 (0.345)	0.004 (0.518)	0.004 (0.507)
Years Mgmt.	0.007 (0.625)	-0.003 (0.851)	0.006 (0.533)	0.005 (0.668)	0.002 (0.819)	0.002 (0.835)	-0.010 (0.562)	-0.011 (0.508)	-0.014 (0.283)	-0.015 (0.238)	-0.005 (0.506)	-0.004 (0.517)
Years Finance	0.009 (0.696)	0.014 (0.545)	0.022** (0.029)	0.027** (0.016)	0.017** (0.041)	0.017** (0.059)	0.013 (0.707)	0.014 (0.671)	0.006 (0.848)	0.008 (0.783)	0.020 (0.269)	0.020 (0.266)
College Select.	0.026 (0.773)	0.038 (0.660)	-0.030 (0.508)	-0.014 (0.766)	-0.039 (0.223)	-0.028 (0.397)	-0.009 (0.895)	-0.004 (0.945)	0.049 (0.287)	0.050 (0.271)	0.064** (0.018)	0.063** (0.021)
Constant	0.665 (0.222)	0.613 (0.256)	0.562** (0.032)	0.518* (0.085)	0.624*** (0.003)	0.593*** (0.007)	0.196 (0.582)	0.198 (0.577)	-0.057 (0.853)	-0.076 (0.799)	0.181 (0.337)	0.171 (0.364)
Observations	31	31	56	56	86	86	48	48	67	67	117	117
R ²	0.424	0.396	0.388	0.309	0.227	0.189	0.280	0.275	0.161	0.173	0.140	0.142

(b) Table VII, Panel B: Success regressions with observables

7 Short summary

- The paper studies 316 CEO candidates for PE-backed companies using structured ghSMART assessments.
- The data include 30 scored CEO characteristics and three success measures.
- Factor analysis identifies two main dimensions: general ability and an execution/resoluteness-versus-interpersonal/team dimension.
- For buyout CEOs, general ability is strongly related to subsequent success.
- Execution/resoluteness traits also predict buyout performance.
- Interpersonal/team traits do not strongly predict success and may be negatively related in some VC specifications.
- VC results are weaker, plausibly because VC companies face greater idiosyncratic uncertainty and require more firm-specific knowledge.
- Incumbency does not predict performance after controlling for ability and traits.
- Observable variables such as education and experience do not fully proxy for the structured interview factors.

- The paper’s main contribution is to show which CEO characteristics are associated with performance, not just that CEOs differ.

8 Conclusion

8.1 Core conclusion

Kaplan, Klebanov, and Sørensen show that CEO characteristics can be measured in a systematic way and that those measurements are related to subsequent firm outcomes. The central empirical result is that general managerial ability and execution/resoluteness skills predict success, especially for buyout CEOs. Interpersonal and teamwork skills, while often viewed as desirable in management advice, are not the primary predictors of performance in this sample.

8.2 Economic intuition

The economic intuition is straightforward. Mature buyout companies often require rapid execution, accountability, cost discipline, operational change, and the willingness to make difficult decisions. Traits such as fast, aggressive, persistent, proactive, high standards, work ethic, and accountable map naturally into those needs. Interpersonal/team traits may help coordination, but they do not substitute for the ability to execute. In VC-backed firms, firm outcomes are noisier and may depend more on business model uncertainty, technology, product-market fit, or firm-specific founder knowledge. That setting weakens the relationship between general CEO talent and observed outcomes.

8.3 Incremental contribution revisited

The paper advances the CEO and leadership literature in three ways. First, it directly measures CEO characteristics rather than inferring them from actions such as investment behavior, option exercise, or media portrayal. Second, it shows that the many characteristics emphasized in management writing can be organized into a small number of empirically meaningful dimensions. Third, it connects those dimensions to performance in a setting where CEO selection is central to investor value creation. This makes the paper an empirical complement to theories of managerial talent, leadership, overconfidence, and firm-specific versus general managerial skills.

8.4 Implications for boards and investors

The findings imply that CEO assessment should not treat all positive-sounding traits as equally important. “Leadership” is multidimensional. Boards and private equity investors should distinguish between general ability, execution capability, and interpersonal style. For buyouts, the evidence suggests that execution capability is especially valuable. For VC-backed firms, the weaker results warn that CEO traits may interact with business uncertainty and company stage.

8.5 Limitations

The analysis is observational and does not fully eliminate endogenous matching between CEO type and firm type. The outcome variables are coarse, especially because many portfolio companies are private. The sample is drawn from PE-related settings, so external validity to public, family-owned, or nonprofit organizations remains open. Finally, the assessments are structured and behavior-based, but still rely on interviewer judgment and candidate self-reports.

8.6 Takeaway

The enduring takeaway is that measurable CEO traits matter, but the important traits are not simply the broad set of desirable attributes often listed in leadership books. In this setting, the decisive ingredients are general talent and execution. The paper turns the abstract idea that “CEOs matter” into a more concrete empirical statement about which CEO abilities appear to matter.